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Marketing Management

Week 6 · Managing Sustainable Competitive Advantage

Marketing Principle #3: All Competitors React

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Agenda

01 **Introduction**
Why competitive reactions make sustainable advantage essential

02 **Approaches**
Brand, offering, and relationship equity—and how to measure them

All Competitors React

- The persistent efforts by all firms in the market to copy and innovate, such that all competitors react, constitutes a third challenge that managers confront
- Thus, when managers develop their marketing strategies, they need to consider customers heterogeneity and dynamism, but also anticipate competitors' reactions, now and in the future, to be able to build barriers that hold up against sustained competitive assaults, termed **sustainable competitive advantages (SCA)**
- Typically a firm must establish the sustainable position with a targeted customer group before they can build an SCA around that position
- Of the four First Principles of marketing, managing SCA may be the most difficult to execute

Building SCAs is Key Since "All Competitors React"

"The art of war teaches us to rely not on the likelihood of the enemy's not coming, but on our own readiness to receive him; not on the chance of his not attacking, but rather on the fact that we have made our position unassailable."

Sun Tzu

Example: Tesco (UK)

- UK grocery giant, world's third largest retailer
- Expanded to other markets, including US, but failed to build an SCA that worked in those markets
- Introduced large stores with massive assortments, but many US consumers prefer to visit several stores that offer smaller (but deeper) assortments
- Overestimated consumers' preferences for local brands
- Exited the US in 2013

Sustainable Competitive Advantages (SCA)

- A firm has an SCA when it is able to generate more customer value than competitive firms in its industry for the same set of products and service categories and when these other firms are unable to duplicate its effective strategy

- A **good SCA meets three criteria**:
  - → Customers care about what this SCA offers
  - → The firm does it better than competitors, which generates a relative advantage
  - → The SCA must be hard to duplicate or substitute, even with significant resources

- Thus, being first to market with a new idea is not sufficient to create a barrier to competitors, especially if deep-pocketed market leaders recognize the threat of an innovative new entrant and devote their resources to protect their sales to existing customers

- To make an SCA hard to copy, firms often turn to key market-based sources of SCAs

Marketing-Based Sources of Sustainable Competitive Advantage

- There are three market-based sources of sustainable competitive advantage
  - → **Brands** – is most effective in large consumer markets
  - → More effective for consumer goods
  - → Advertising, PR, sponsors
  - → **Offerings** – effective because new and innovative products and services have the potential to disrupt virtually any market segment
  - → R&D
  - → New products and services
  - → New technologies
  - → **Relationships** – most effective in business-to-business, service, and complex offering settings
  - → More effective for B2B goods, services, intangibles, and complex or risky offerings
  - → Salespeople, any boundary spanner, online relationships

- These three sources of sustainable competitive advantage—brands, offerings, and relationships (BOR)—are additive and often work synergistically to give a firm a strong relative position in the marketplace

Example: Starbucks (US)

- Starbucks has a high-quality **brand** (valued at $5.4 billion) that customers feel emotionally attached to
- Distinctive **offering** of unique coffee-based drinks and store environments
- Customers develop **relationships** with the employees in their local stores, who remember their drink orders or recognize them by name
- These sources of SCAs, generated from effective BOR strategies, work together to increase customers' loyalty, and competitors find it very hard to overcome these barriers.
- Starbucks continues to innovate its offerings (e.g., Teavana tea products) and technology-based services (e.g., mobile payment) to maintain its SCA in this category

Example: Maruti (India)

- Maruti (now Maruti-Suzuki) led India's domestic automobile market for nearly 30 years, largely because of laws that limited the entry of foreign firms
- With a liberalized market, new players such as Volkswagen and Ford have increased the competitive pressure on Maruti, which thus far has proven unable to reinvent itself to serve India's younger, more affluent middle class

Market-based Sources of SCAs

Source	Barriers to Duplication	Where It Is Most Effective	Examples
Brands	Brand images reside in consumers' minds, which makes them difficult to duplicate, facilitates habitual buying through awareness, and provides identity benefits to customers	Large consumer markets (soft drinks, beer, fashion, automobiles)	BMW, Anheuser-Busch
Offerings	Cost benefits, performance advantages, access to distribution channels	Most markets, technology-based businesses (software, electronics)	Apple iPhone, Bose, Tesla
Relationships	Leads to trust, commitment, and interpersonal reciprocal bonds that are hard to build or duplicate	Business-to-business markets, services, complex products (test equipment, haircut, financial services)	Edward Jones, Grainger

In Class Exercise on SCA

- Take a few minutes to describe 3 purchases
- Bought for brand _____
  - → Top two reasons why _____ & _____
  - → What would it take for you to change _____
- Bought for offering _____
  - → Top two reasons why _____ & _____
  - → What would it take for you to change _____
- Bought for relationship _____
  - → Top two reasons why _____ & _____
  - → What would it take for you to change _____
- If it takes a lot for you to change then firm has built a strong SCA
-

Competitive Reaction: A Fundamental Assumption of Marketing Strategy

- Competitors can displace firms in many different ways, including:
  - → Technical innovations that provide competitors with a platform to launch a disruptive offering
  - → Exploiting changes in customers' desires due to cultural, environmental, or other factors
  - → Individual entrepreneurship that constantly seeks a better way to solve a problem
  - → "Me-too" copycats that improve the efficiency or effectiveness of an existing execution

- Thus, managers need to anticipate competitors' reactions, now and in the future, by building barriers or **sustainable competitive advantages** that can withstand competitive assaults

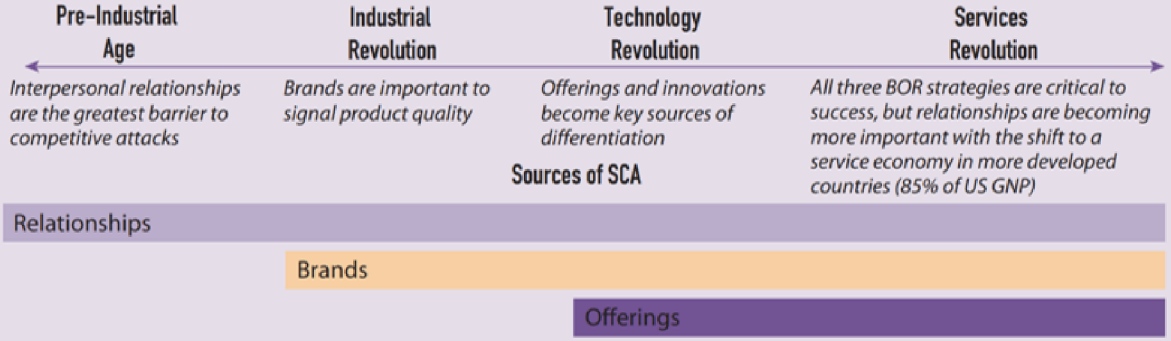
Marketing Principle #3: all competitors react and an effective marketing strategy must manager the firm's sustainable competitive advantage (SCA)

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Evolution of Approaches for Managing Sustainable Competitive Advantage in Marketing



Factors Affecting the Sources of SCAs

- Producer is both the marketer and the retailer.
- Sales are to geographically proximate customers.
- Examples: Shoe cobblers, farmers, and tailors all relied on direct relationships with customers; traders on the Silk Road relied on relational trust with other traders to exchange goods.

- Mass production provides economies of scale.
- More geographically dispersed customers.
- Emergence of middlemen.
- Large supply creates the need for aggressive sales promotions.
- Examples: Original brands built on strong family names such as Ferrari, J.C. Penney, and Gillette to signal quality and differentiate themselves from competitors.

- Shift from tangible to digital and knowledge products.
- Fast technological change and turbulence.
- Examples: Apple and Google, who both focus on technological innovation and have surpassed Coca-Cola as the most valuable brands.

- Disintermediation removes the middleman between producer and consumer.
- Economy shift from a focus on products to services.
- Examples: IBM shifted to selling business solutions rather than equipment; financial service firms such as HSBC and Wells Fargo continue to grow.

Evolution of Sustainable Competitive Advantage in Marketing

- Pre-Industrial Age – interpersonal relationships were the greatest barrier to competitive attacks
- Industrial Revolution – brands are important to signal product quality
- Technology Revolution – offerings and innovations become key sources of differentiation
- Services Revolution – all three BOR strategies are critical to success, but relationships are becoming more important with the shift to a service economy in more developed countries
  - → Some researchers argue that developed counties are undergoing the next SCA revolution, due to the wider shift to a service economy
- Despite the shifting emphases on the different sources of SCA, all three sources (brands, offerings, and relationships) build on one another and often combine synergistically to determine a firm's overall SCA

Customer Equity Perspective

- **Customer equity** for a firm refers to "the total of the discounted lifetime values of all its customers"
- When a firm advertises to build strong brands, makes R&D investments to develop innovative products, or spends to hire and train salespeople who can enter into relationships with clients, it should increase that firm's brand, offering, and relational equities
- Together these three BOR equities constitute the firm's customer equity and often is the best barrier (SCA) to competitive assault, sometimes termed a **BOR Equity Stack**

"Customer Equity" a Different Measure of a Firm's Most Important Assets

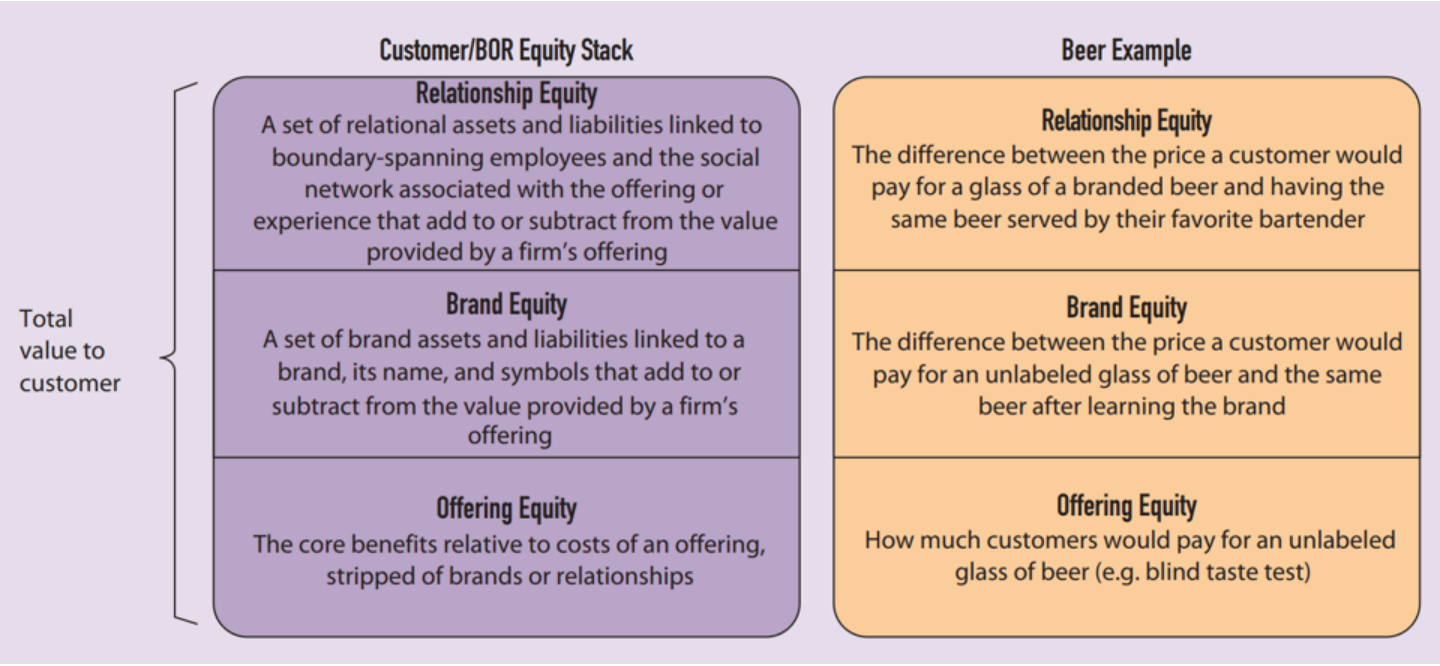
- **Premise:** Customers are considered a financial asset, which should be measured, managed, and maximized
  - → Treat customers just like other assets even though accountants typically don't treat "customers" as an asset
  - → Customer equity is not captured on a balance sheet: spending on building equity (e.g., brands, R&D, relationships) is treated as an expense

- **Why bother with customer-centric accounting:**
  - → Primary driver of many firms' sales and profits
  - → Brand, offering, and relational equities are a primary source of firm's SCA
  - → Captures long-term impact of marketing actions (Coke's brand equity reaches past one year)

BOR Equity Stack

- Three equities combine in an additive customer or BOR equity stack
  - → Relationship equity
  - → Brand equity
  - → Offering equity
- At the individual level, customer equity is analogous to the customer's lifetime value (CLV)
- Then when each customer's equity is added together, it generates the firm's overall customer equity
- In this sense, the customer equity perspective is well suited to using a CLV analysis approach, because each market-based equity can be assessed as an addition to the customer's discounted cash flow over time
- Thus, BOR equities are similar to tangible assets: They generate a return on assets (ROA), can be built through investments, and depreciate over time if not maintained

Customer Equity Perspective: Brand, Offering, Relationship Equity Stack



Offering Equity (Beer)

- Offering equity represents the core benefits relative to costs of an offering stripped of any benefits from brands or relationships
  - → Price and performance only
  - → Represents a large portion of total equity for commodity products (e.g., EDLP strategies)
  - → Does Wal-Mart have much brand or relationship equity?
- Less important for:
  - → Services or high involvement products
  - → Products that provide meaning or status
  - → Maturing markets/industries

Brand Equity (Beer name/label/image)

- **Brand equity** is a set of brand assets and liabilities linked to a brand, its name, and symbol, that add to or subtract from the value provided by a firm's offering
  - → Knowledge of the brand differentially affects behavior
  - → Brand equity **"lies in the minds of the customer"**
- Key for consumer goods, status based offerings, and as consumption is more visible
- Since brand building can be hard to target, brand equity is better for offerings with large homogenous user group
- Hard to quickly adapt or change brand equity

Keller (2008)

Relationship Equity (people serving beer and other customers)

- **Relationship equity** is a set of relational assets and liabilities linked to boundary spanning employees and the social network associated with the offering or experience that add to or subtract from the value provided by a firm's offering
- Relationships affect behavior
  - → Relational-based decision making is ingrained in our psyche (20 to 30% of brain)
  - → Many psychological processes are engaged in relational or pseudo-relational contexts
- Key for B2B, services, and complex selling cycles
- Can target and adapt more easily than brands

Keller (2008)

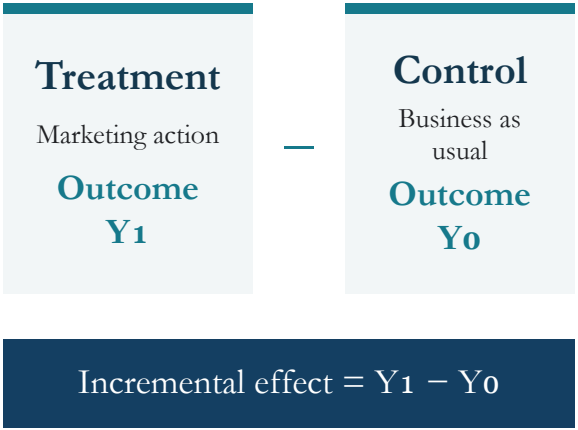
Using Experiments to Determine Customer Equity

- Strong test of causality since:
  - → Random assignment of customers
  - → Control of conditions or treatments
  - → Comparison to control groups overtime
- Use to test "findings" from other method
- Simple process
  - → Randomly divide customers into groups (2 to 3)
  - → Do nothing to one group (control group)
  - → Do your test (conditions/treatments) to other group(s), but nothing else (ideally customers and employees involved don't know the difference; "double blind")
  - → After period of time test the difference in outcomes across groups and see if it varied significantly
-

Marketing Experiments

Experiments isolate the causal effect of a marketing action by comparing outcomes for treated and untreated units.

- Change one focal marketing input while holding the decision context stable.
- Assign comparable customers, stores, or markets to treatment and control conditions.
- Measure incremental customer or financial outcomes—not merely correlation.



Three Requirements for a Causal Claim

01

Covariation

The marketing action and the outcome move together.

02

Temporal order

The treatment occurs before the measured response.

03

Alternative causes ruled out

Random assignment or a credible control condition makes the groups comparable.

Randomization is powerful because, on average, observed and unobserved differences are balanced before treatment.

Estimating the Treatment Effect

$$\text{Outcome}_i = \beta 0 + \beta 1\ \text{Treatment}_i + \varepsilon_i$$

$\beta 0$	Expected outcome in the control condition
$\beta 1$	Average incremental effect of the marketing treatment
ε_i	Unexplained individual or market-level variation

With repeated observations, analyze the change from before to after treatment and compare that change with the control group.

Example: DFG Local TV Advertising Experiment

Decision problem

DFG, a floral-delivery firm, wants to know whether increasing local TV advertising produces incremental awareness and sales.

Field design

- Randomly select 50 regional markets for a 10% increase in local TV spending.
- Keep 50 comparable regional markets at the existing spending level.
- Measure brand awareness, recall, and sales before and after the intervention.



Experiment Results and the Managerial Decision

+3.2%
Brand awareness

+3.0%
Brand recall

+1.5%
Sales

From statistical lift to business value

1. Translate the incremental sales lift into contribution profit.
2. Compare incremental profit with the extra media cost.
3. Scale only if the expected return exceeds the hurdle rate and the result travels to other markets.

The experiment answers “Did the advertising cause lift?” The profit calculation answers “Should we invest?”

Example: Find Best Internet "Ad"

- You want to get people to buy supplemental items when buying online plane tickets
  - → You have existing ad
  - → Your boss wants to use a new swimsuit ad
  - → Take 5 minutes and design your experimental test to make the decision
- Discuss:
  - → Sample source and size
  - → Research design
  - → Analysis of data
  - → Address bias concerns: time of year, day, weather, other print ads running, other
  - →

Results of Experiment (Using Excel)

	Ad-now sales	Ad-swimsuit sales	
	$771	$345	
	$447	$1,280	
	$772	$441	
	$333	$967	
	$71	$992	
	$452	$234	
	$771	$761	
	$340	$449	
	$883	$1,671	
	$911	$567	
	$716	$290	
	$392	$1,712	
	$345	$28	
	$149	$564	
	$717	$386	
	$278	$912	
	$456	$937	
	$397	$0	
	$12	$706	
	$285	$394	
	$828	$1,616	
	$856	$512	
	$570	$1,450	
	$895	$564	
	$456	$1,090	**Difference in two groups**
Mean	**$524**	**$755**	$231 average
Median	**$456**	**$567**	$111 midpoint
Std Dev	**$265**	**$486**	$221 "+/- 1 std dev captures 68% of sample, +/- 2 is 95%"
Ttest		**4.69%**	probability difference is due to chance

"=Ttest(range 1, range 2, use 2 tail, use 2 equal variance)"

- Randomly assign customers
- Analysis
  - → Mean
  - → Median
  - → Std. dev.
  - → Difference in groups
  - → T-test to determine if difference in means is significant
- Excel does all of this

Natural Experiments (Data Mining)

- Not as a strong test of causality, but often only choice
- Use natural variation or shock to business
- Example:
  - → Competitor entered three markets and your sales force has responded differently (matched price, held price, gave free shipping). Use differences in effect on sales to see what is best strategy
  - → But, what if territories are not the same (size, brand strength, types of products sold)?
  - → You can do the same test while "controlling" for these other variables (comparing means or regression)
  - → Strategies may work better for some customers than others (segment and test)

Customer Equity Perspective Offers Many Benefits But It Is Hard to Do

- Customer equity perspective involves building and maintaining a parallel "customer-centric accounting process," outside the firm's normal financial accounting process
- There are three main arguments for using customer equity accounting and a BOR equity stack
  - → BOR equities are often the primary source of a firm's SCA
  - → To make optimal decisions, a firm needs a framework that measures, tracks, and reports customer equities
  - → Effective customer equity systems represent a SCA in their own right
- Suboptimal marketing decisions happen in firms every day, at many different management levels, and especially during economic downturns
- Many firms' primary SCA result from their BOR investments and strategies, but other sources of SCA are available too, including deep and low cost financial resources, human resource strategies, and operational processes
  - → These aspects fall outside of the scope of a marketing strategy, so the framework we present in the next section focuses instead on implementing a customer equity perspective using a BOR equity stack